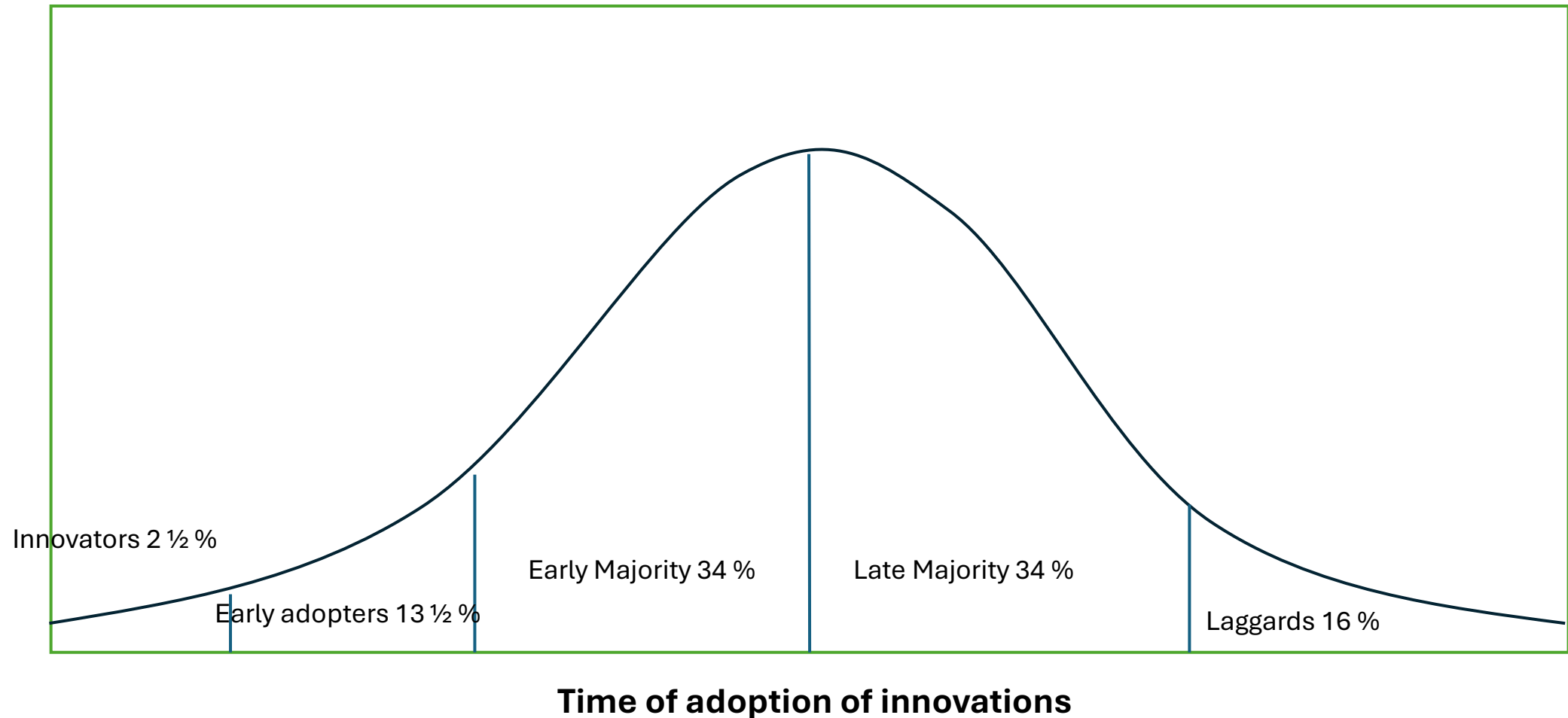


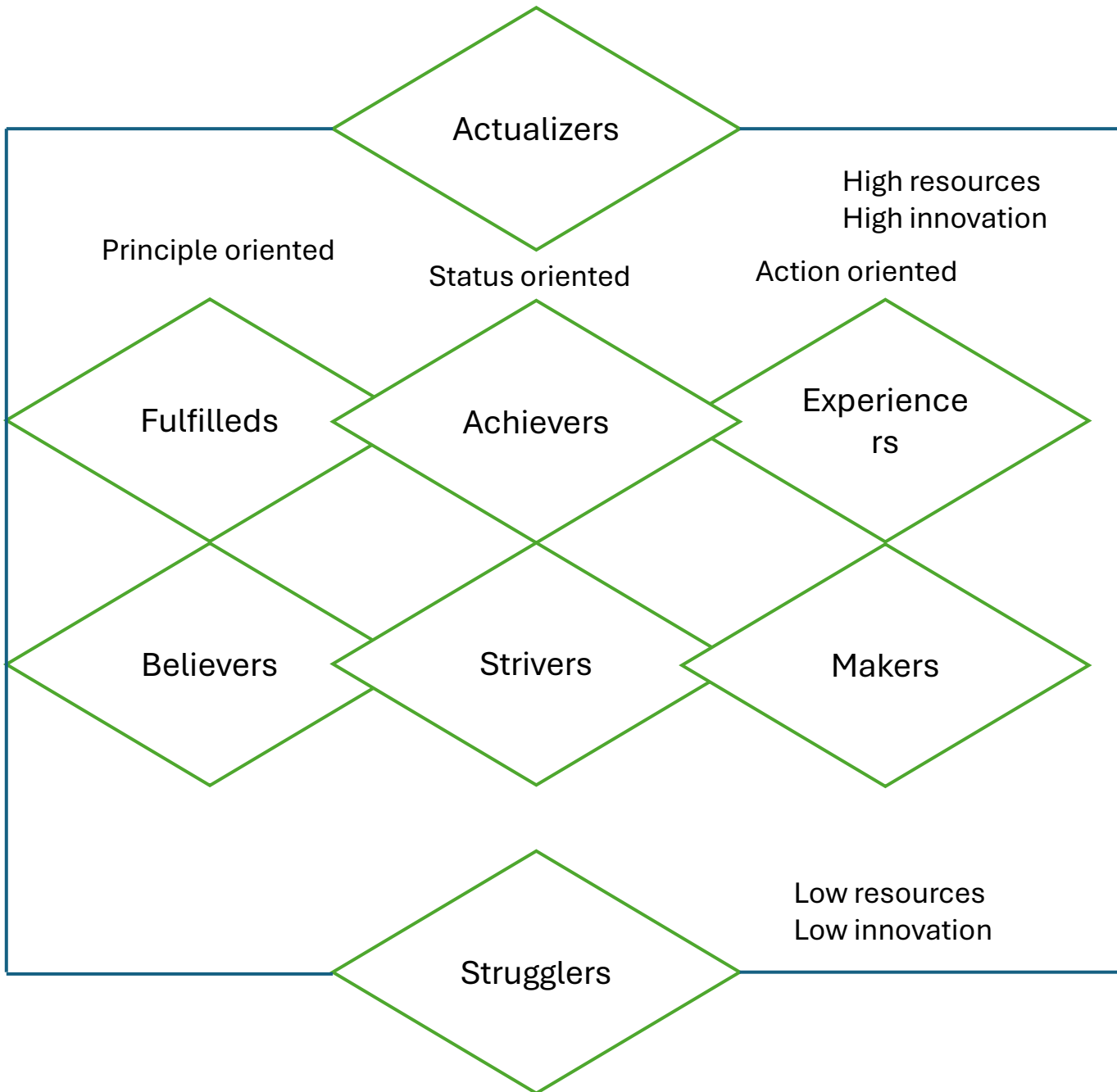
The customer adoption process



Consumer Behaviour

- Psychographics = psychology + demographics
- VALS framework by SRI (Stanford Research Institute)
 - 4 demographic questions
 - 35 attitudinal questions

VALS Network



Actualizers – niche-oriented products.
Fulfilleds – functional & value products.
Achievers – products that demonstrate success.
Experiencers – clothing, fastfood, movies.

Believers – familiar products
Strivers – buy products to imitate wealthy people
Makers – practical products, utility oriented.
Strugglers – cautious consumers loyal to favourite brands

Perception – Different people perceive an object differently because of

- **Selective attention** – people are exposed to 1500 ads a day, they forget most of it.
 - Solution – sudden offers from malls, by sales people.
- **Selective distortion** – tendency to twist information and fit it into preconceptions.
 - Solution – marketers can't do much about it.
- **Selective retention** – tendency to retain information that supports their attitudes and beliefs.
 - Solution – use repetition in sending messages.

The buying decision process

Buying roles

- **Initiator** – The person who first suggests the idea of buying the product or service.
- **Influencer** – the person whose view or advice influences the decision.
- **Decider** – The person who decides on any component of a buying decision: whether to buy, what to buy, how to buy, or where to buy.
- **Buyer** - The person who makes the actual purchase.
- **User** - The person who consumes or uses the product or service.

Buying Behaviour

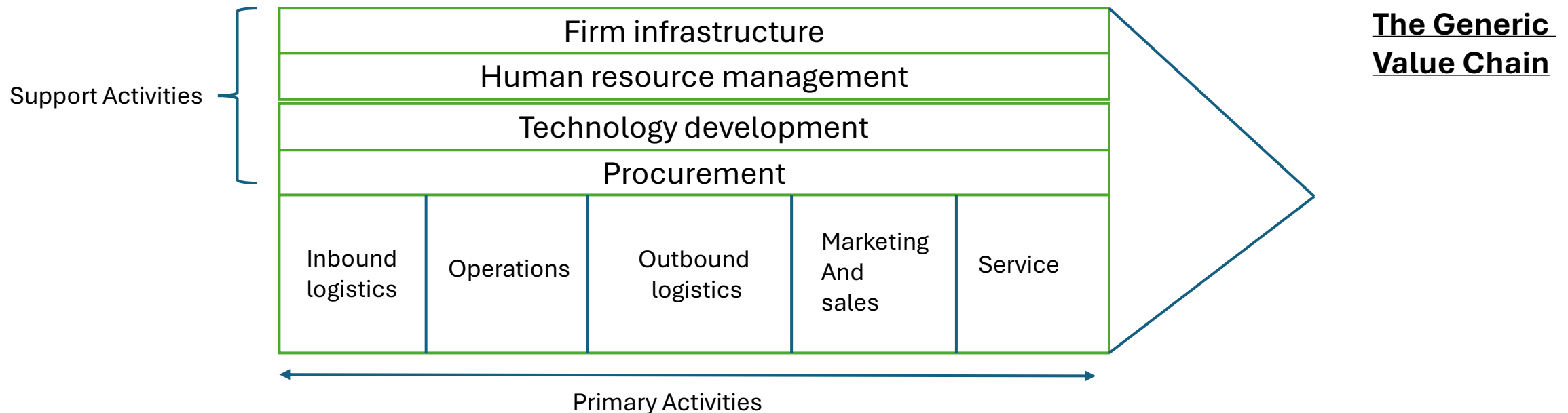
	High Involvement	Low Involvement
Significant differences between brands	Complex buying behaviour Eg. automobile	Variety-seeking buying behaviour Eg. Cookies
Few differences between brands	Dissonance-reducing buying behaviour Eg. Electronics, furniture	Habitual buying behaviour Eg. Toothpaste

Stages of Buying Decision Process

- **Problem recognition** – buyer recognizes a problem or need.
- E.g. hunger, thirst.
- **Information search** – reads materials, phones friends, visits stores to learn about the product.
- **Evaluation of alternatives** – processes competitive brands and make a final value judgement.
- **Purchase decision** – forms an intention to buy the most preferred brand.
- **Postpurchase behaviour**
 - Performance < expectation – disappointment
 - Performance = expectation – satisfaction
 - Performance > expectation – delight

Delivering customer value and satisfaction

- Every firm is a synthesis of activities that are performed to design, produce, market, deliver, and support its products.
- The value creating activities are 5 primary activities and 4 support activities.



Inventory Management & Safety

- Just-in-time (JIT), economic order quantity (EOQ), FIFO/LIFO.
- Bin Card Inventory Control.
- 6 Sigma process.
- Poka Yoke – Error proofing.
- 5S Safety Rules
 - Sort (Seiri) – Remove unnecessary items.
 - Set in order (Seiton) – Organize items so that they are easy to use and locate.
 - Shine (Seiso) – clean workplace, environment, tools to maintain safe environment (oil leaks).
 - Standardize (Seiketsu) – Consistent procedures, visual standards (colour coding).
 - Sustain (Shitsuke) – Culture of discipline and regular audit.